

Notes: Hong, Jiang, Wang, and Zhao (RFS, 2014)

Trading for Status

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1 Big picture

- **Question.** Why do retail investors trade so much, chase trends, and concentrate in small local stocks? The paper asks whether social status concerns can generate these patterns in a unified way.
- **Core mechanism.** Keeping-Up-with-the-Joneses preferences make a household's marginal utility of wealth rise when local peer wealth rises. If local peers' wealth is tied to local firms, investors demand more local risky stocks when those local stocks perform well.
- **Model implication.** Status investors buy more after good local-stock signals and sell after bad signals. Status concerns therefore generate trend chasing and turnover. Because this demand pushes prices up, the trades can be excessive and associated with low expected returns.
- **Empirical setting.** China from 1998 to 2012 provides strong cross-sectional and time-series variation in local affluence. Rich cities and provinces became much richer after the early 2000s, creating variation in status pressure.
- **Main empirical measure.** The paper focuses on small-minus-big turnover and market-to-book ratios among local stocks. Small local stocks are more plausibly tied to local entrepreneurs and local peer wealth than large stocks.
- **Main result.** In richer regions, especially after 2005, turnover of small stocks rises relative to big stocks. Market-to-book ratios for small stocks also rise relative to big stocks.
- **Attention validation.** Message board posts about local small stocks predict small-minus-big turnover, consistent with the mechanism operating through local investor attention and local trading.
- **Account-level validation.** Brokerage account data show that individual investors in rich cities trade a larger fraction of local small stocks, even after controlling for wealth and demographics.
- **Takeaway.** Status concerns are not merely about conspicuous consumption. They can shape risky asset demand, local bias, trend chasing, and trading volume in financial markets.

2 Incremental contribution of this paper

- **Unifying behavioral trading facts.** Prior work documents excessive trading, local bias, and trend chasing separately. This paper shows that a single status-preference mechanism can connect all three.
- **Status concerns in finance.** The paper brings Keeping-Up-with-the-Joneses preferences into retail asset trading rather than only household consumption or portfolio risk-taking.
- **New empirical design.** It uses the uneven rise of affluence across Chinese cities and provinces as a source of variation in status pressure. This creates a geographic treatment-intensity design instead of relying only on cross-sectional investor traits.
- **Small-minus-big local stock strategy.** The paper proposes a within-region comparison between small and big stocks. This helps isolate the component of local stock trading most plausibly linked to local peer wealth.
- **Multiple data layers.** The paper combines market turnover, stock market-to-book ratios, stock message board posts, brokerage branch density, and account-level trading to validate the mechanism.
- **China as a laboratory.** The large cross-city differences in wealth growth, high retail participation, and strong local-affluence changes make China especially useful for studying social status and trading.
- **Contribution relative to local-bias literature.** Existing familiarity or information-based explanations can explain local holdings but not why local trading rises procyclically with local affluence. The status channel predicts this timing.

- **Contribution relative to overconfidence and sensation-seeking theories.** These theories can generate high turnover, but the paper adds a social-comparison channel that predicts where and when turnover should intensify.

3 Data and measurement

3.1 Geographic units and sample period

- The main market data cover Chinese listed stocks from 1998 to 2012.
- The paper studies both city-level and province-level variation.
- Cities are more local and closer to the peer-group idea, while provinces give a broader regional aggregation and more stable data.
- The key geographic variable is GDP per capita, used as a proxy for local affluence and hence for the intensity of status concerns.

Interpretation: The research design treats richer localities as places where keeping up with peers is more financially salient. The post-2005 period is especially important because affluence increased sharply and unevenly across regions.

3.2 Small and big local stocks

- For each city or province and year, the paper classifies local stocks by their connection to the region.
- It separates small local stocks from big local stocks.
- Small firms are more likely to be associated with local entrepreneurs, local peer wealth, and local investor attention.
- The main dependent variables compare small local stocks to big local stocks in the same geographic area.

Interpretation: The small-minus-big construction is meant to subtract out broad local market conditions and focus on the stocks most likely to reflect local status competition.

3.3 Turnover measures

The baseline turnover gap is

$$VW\ SMB\ TURNOVER_{i,t} = VW\ TURNOVER_{i,t}^{Small} - VW\ TURNOVER_{i,t}^{Big}. \quad (1)$$

The paper also uses:

- **IND ADJ VW SMB TURNOVER:** industry-adjusted value-weighted small-minus-big turnover;
- **VW SMA TURNOVER:** value-weighted small-minus-all turnover;
- **EW SMB TURNOVER:** equal-weighted small-minus-big turnover.

Interpretation: Turnover is the empirical proxy for trading intensity. A positive interaction between affluence and the late period means richer areas see disproportionately more trading in small local stocks.

3.4 Market-to-book measures

The baseline valuation gap is

$$VW\ SMB\ MB_{i,t} = VW\ MB_{i,t}^{Small} - VW\ MB_{i,t}^{Big}. \quad (2)$$

The same robustness variants are used for market-to-book ratios:

- industry-adjusted value-weighted SMB market-to-book;
- value-weighted small-minus-all market-to-book;
- equal-weighted small-minus-big market-to-book.

Interpretation: If status demand raises prices of small local stocks, richer regions should show higher small-minus-big market-to-book ratios, especially in the later high-affluence period.

3.5 GDP per capita proxies

The paper uses four proxies for local affluence:

- **RICH:** indicator for being in the richest two quintiles by GDP per capita;
- **QUINTILE:** GDP per capita quintile rank;
- **SCORE:** inverse rank of GDP per capita;
- **LN GDPPC:** log GDP per capita.

Interpretation: Using several proxies avoids relying on one arbitrary cutoff. The repeated pattern across proxies is important evidence that results are not driven by a mechanical definition of rich areas.

3.6 Controls and alternative channel variables

Controls and alternative variables include:

- **LN POP:** log local population;
- **BRANCH DENSITY:** local brokerage branch density;
- **PCT LOCAL STOCK:** share of listed firms that are local;
- year dummies and, in some specifications, industry adjustments.

Interpretation: These variables help separate status-driven trading from market access, trading technology, regional scale, and the mechanical availability of local stocks.

3.7 Message board data

The paper uses EastMoney/Guba stock message board data for 2008–2012.

- **LOCAL POST:** average number of posts from a city on local stocks, scaled by 1,000.
- **NONLOCAL POST:** average number of posts from nonlocal cities on the same local stocks.
- The sample includes posts with more than five replies.

Interpretation: Message board data test whether turnover in local small stocks is actually associated with local investor attention rather than only unobserved firm characteristics.

3.8 Brokerage account data

The account-level data contain nearly one million investor-year observations from a brokerage house.

- Account characteristics include wealth, log wealth, gender, and age.
- Local trading is measured in three ways: transaction-weighted, share-weighted, and value-weighted.
- The benchmark local-stock share is the share of local stocks available in the market, so the paper can compare actual local trading to local-stock availability.

Interpretation: The account data move the paper from aggregate market-level patterns to individual investor behavior, which is closer to the theory.

4 Model and empirical specifications

4.1 Status utility

There are status investors s and nonstatus investors m . The payoff of the local risky stock is tied to peer wealth. Status investor utility is

$$U_s(\widetilde{W}_{s,2}) = (1 + b\widetilde{F}) \log(\widetilde{W}_{s,2}) - d\widetilde{F}, \quad (3)$$

while nonstatus investors have

$$U_m(\widetilde{W}_{m,2}) = \log(\widetilde{W}_{m,2}). \quad (4)$$

The key parameter is b . If $b > 0$, then own wealth and peer wealth are complements:

$$\frac{\partial^2 U_s}{\partial W \partial F} > 0. \quad (5)$$

Interpretation: When peers are richer, status investors value an extra dollar of own wealth more. If peer wealth is tied to local stocks, demand for local stocks rises after good local-stock performance.

4.2 Demand and price in the up state

In the up state, the demand of status investors contains an additional status term:

$$\phi_s^U = \frac{P^U(\bar{F} - P^U)}{\sigma^2 - (\bar{F} - P^U)^2} + \frac{P^U}{\sigma^2 - (\bar{F} - P^U)^2} \frac{b\sigma^2}{1 + b\bar{F}}. \quad (6)$$

Nonstatus demand is

$$\phi_m^U = \frac{P^U(\bar{F} - P^U)}{\sigma^2 - (\bar{F} - P^U)^2}. \quad (7)$$

The equilibrium price can be written as

$$P^U = \bar{F} - \frac{\sigma^2}{\bar{F}} + \frac{\bar{k}\sigma^2}{\bar{F}} W_s^U, \quad \bar{k} = \frac{b}{1 + b\bar{F}}. \quad (8)$$

Interpretation: The last term is the status overpricing component. It increases with the intensity of status concerns.

4.3 Initial holdings and trend chasing

At date 0, status investors hold more risky assets than nonstatus investors:

$$\phi_{s0} = \phi_{m0} + \text{status-demand term.} \quad (9)$$

Proposition 1. Investors with status concerns exhibit trend chasing: they buy more shares after a good signal and sell shares after a bad signal. With moderate λ , turnover is increasing in b .

Interpretation: Status concerns generate trading because desired local-risk exposure changes with peer wealth. No disagreement or overconfidence is necessary for this mechanism.

4.4 Excessive trading and prices

Proposition 2. Higher status concerns are associated with higher prices and lower expected returns.

Interpretation: Turnover generated by status concerns is excessive because it is tied to hedging relative status, not to improving mean-variance performance.

4.5 Main turnover regression

The core panel specification is

$$Y_{i,t} = \alpha + \beta_1 GDPProxy_{i,t} + \beta_2 GDPProxy_{i,t} \times LATE_t + \eta_{i,t} + \varepsilon_{i,t}, \quad (10)$$

where $Y_{i,t}$ is a small-minus-big turnover measure.

- $LATE_t = 1$ for 2005–2012 and 0 for 1998–2004.
- The main coefficient is β_2 .
- The regression is run at city and province levels.

Interpretation: The specification asks whether richer regions experience a relative increase in small local stock trading after the rise in affluence.

4.6 Market-to-book regression

The price test uses the same interaction specification with market-to-book gaps:

$$MBGap_{i,t} = \alpha + \beta_1 GDPProxy_{i,t} + \beta_2 GDPProxy_{i,t} \times LATE_t + \eta_{i,t} + \varepsilon_{i,t}. \quad (11)$$

Interpretation: A positive β_2 means the valuation of small local stocks rises relative to big local stocks in richer areas after the affluence shock.

4.7 Geographic controls regression

To test alternative channels, the paper adds controls and interactions:

$$Y_{i,t} = \alpha + \beta_1 GDPProxy_{i,t} + \beta_2 GDPProxy_{i,t} \times LATE_t \quad (12)$$

$$+ \gamma_1 LNPOP_{i,t} + \gamma_2 LNPOP_{i,t} \times LATE_t \quad (13)$$

$$+ \delta_1 BranchDensity_{i,t} + \delta_2 BranchDensity_{i,t} \times LATE_t \quad (14)$$

$$+ \eta_1 PctLocalStock_{i,t} + \eta_2 PctLocalStock_{i,t} \times LATE_t + \theta_t + \varepsilon_{i,t}. \quad (15)$$

Interpretation: This regression checks whether the rich-region effect is simply due to more brokerage access, more local listed firms, or larger city size.

4.8 Message board regression

The message board specification regresses small-minus-big turnover on local and nonlocal posts:

$$SMBTurnover_{i,t} = \alpha + \beta_1 LocalPost_{i,t} + \beta_2 NonLocalPost_{i,t} + \varepsilon_{i,t}. \quad (16)$$

Interpretation: A positive coefficient on local posts but not nonlocal posts supports the interpretation that local investor attention drives local small-stock trading.

4.9 Individual account regression

The brokerage account test estimates

$$LocalTrading_{j,t} = \alpha + \beta GDPProxy_{city(j),t} + \Gamma X_{j,t} + \theta_t + \varepsilon_{j,t}, \quad (17)$$

where $X_{j,t}$ includes wealth, gender, age, population, branch density, and local stock availability.

Interpretation: This test verifies that individuals in richer areas trade more local small stocks, conditional on their own wealth and demographics.

5 Identification and empirical design

5.1 Main source of identification

- The paper exploits the uneven rise in affluence across Chinese cities and provinces.
- The treatment intensity is local GDP per capita.
- The post period begins in 2005, when the divergence in regional affluence becomes larger.
- The outcome is the local small-minus-big stock turnover or valuation gap.

Interpretation: The design is a difference-in-difference-in-differences style design: small versus big local stocks, rich versus poor regions, and late versus early years.

5.2 Why small-minus-big helps

- Rich regions may differ from poor regions in many ways.
- Aggregate turnover may also rise for many reasons unrelated to status.
- Comparing small to big local stocks within a region removes broad local conditions.
- The status channel predicts a stronger effect for small local stocks because they are more connected to local peer wealth and local investor attention.

Interpretation: The small-minus-big comparison is the paper’s main device for separating status-related local trading from general market participation.

5.3 Alternative explanations and controls

The paper directly considers several alternative explanations:

- richer regions may have better trading technology;
- richer regions may have more brokerage branches;
- richer regions may have more local listed stocks;

- local small stocks may simply have stronger fundamentals;
- message board activity may reflect national attention, not local attention.

Interpretation: The paper's controls and auxiliary tests are designed to show that the results are not merely about access to trading or differences in fundamentals.

5.4 What the paper cannot fully prove

- Status concerns are not directly observed at the household level for all investors.
- GDP per capita is a proxy for status pressure, not a direct measure of relative utility.
- The model is stylized and abstracts from many behavioral motives such as overconfidence or sensation seeking.
- Brokerage account data come from one brokerage house and may not be nationally representative.

Interpretation: The empirical case rests on multiple consistent patterns rather than one direct measurement of status preferences.

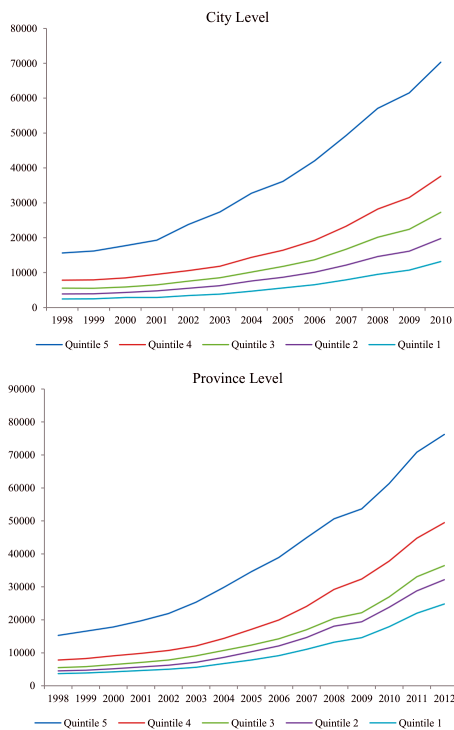
6 Tables and figures

6.1 Figure 1 and Table 1: regional affluence and stock market environment

Read:

- Figure 1 shows that richer city and province quintiles experienced much faster GDP-per-capita growth.
- Table 1 reports stock counts, GDP per capita, population, turnover, market-to-book ratios, and brokerage branch density across provinces.
- Richer provinces have more stocks, higher branch density, higher population, and higher GDP per capita.

Economic message: The empirical design relies on strong and uneven growth in local affluence. Table 1 also makes clear why the paper must control for local stock availability and trading access.



(a) Figure 1: GDP per capita across regions

Table 1
Distribution of stocks and GDP per capita

Province	# of STOCKS	GDP PC	SCORE	QUINTILE	RICH	TURNOVER	MB	POP	BRANCH DENSITY
Shanghai	129.80	51,053.57	29.8	5.0	1.00	4.76	3.12	19.32	24.30
Beijing	82.60	47,786.87	28.9	5.0	1.00	4.45	3.09	16.08	10.37
Tianjin	21.53	42,231.96	28.2	5.0	1.00	4.69	3.31	11.11	7.96
Zhejiang	84.60	30,923.52	26.5	5.0	1.00	5.07	3.16	49.99	4.17
Jiangsu	88.80	29,991.81	25.7	5.0	1.00	5.01	2.99	75.80	2.81
Guangdong	152.53	27,658.34	25.2	4.7	1.00	4.81	2.99	92.38	5.35
Liaoning	48.27	24,567.93	23.1	4.0	1.00	4.74	2.89	42.62	3.96
Shandong	72.67	23,722.78	20.6	3.9	1.00	4.91	2.84	92.58	1.71
Fujian	46.53	23,609.04	22.5	4.0	1.00	5.24	3.12	35.46	3.25
Neimenggu	18.13	24,174.01	22.3	4.0	0.67	4.88	2.66	24.14	1.28
Hebei	29.67	17,175.28	18.8	3.4	0.87	4.81	2.90	68.87	1.15
Jilin	30.80	17,959.06	19.3	3.8	0.47	4.92	2.89	27.12	2.28
Heilongjiang	26.53	16,915.00	18.5	3.6	0.60	4.83	2.88	38.16	2.10
Chongqing	24.73	15,961.94	16.1	3.1	0.13	5.10	3.63	28.46	2.47
Xinjiang	24.47	15,333.77	14.8	3.0	0.27	5.18	3.43	20.08	1.74
Hubei	53.87	15,586.64	15.8	3.0	0.00	5.01	2.83	57.33	2.24
Shanxi	20.47	15,123.62	14.1	3.0	0.00	4.71	2.94	33.72	1.44
Hainan	19.73	14,203.66	11.0	2.2	0.00	5.19	3.46	8.26	3.73
Ningxia	9.20	14,547.27	11.8	2.2	0.00	5.50	3.19	5.94	2.32
Shaanxi	23.13	14,692.24	12.4	2.4	0.00	5.15	3.42	36.87	1.73
Henan	31.00	13,853.70	10.8	2.2	0.00	5.02	3.36	94.66	0.91
Hunan	38.07	13,731.95	10.2	2.0	0.00	5.24	3.52	65.20	1.37
Qinghai	8.07	13,512.30	9.2	2.0	0.00	5.32	4.47	5.41	1.14
Jiangxi	21.00	12,126.96	6.3	1.4	0.00	5.39	2.93	43.21	1.74
Sichuan	60.73	12,066.48	6.0	1.3	0.00	5.15	4.14	81.93	1.84
Anhui	38.87	11,716.40	5.4	1.2	0.00	5.08	2.63	61.14	1.33
Guangxi	19.60	11,378.46	3.9	1.0	0.00	5.09	3.18	47.50	1.04
Yunnan	20.40	9,809.70	3.6	1.1	0.00	5.38	3.71	44.29	0.91
Gansu	16.60	9,558.77	2.2	1.0	0.00	5.64	3.14	25.44	1.47
Guizhou	14.40	7,434.66	1.0	1.0	0.00	5.23	3.17	36.77	0.52
Average	42.56	19,946.92	15.5	3.0	0.40	5.05	3.20	42.99	3.29

This table reports the time-series average of GDP per capita, number of stocks, population, and branch density across provinces in China over the sample period from 1998 to 2012. # OF STOCKS is the time-series average of number of stocks each year in each province over the sample period. GDP PC is the time-series average of GDP per capita for each province in China in Chinese Yuan. All provinces are sorted into quintiles based on GDP PC in each year, and QUINTILE denotes a province's quintile rank (QUINTILE 5 is the richest). RICH is a dummy variable equal to one if the province lies in QUINTILE 4 or 5. SCORE is the inverse rank of provinces' GDP per capita (i.e., the province with SCORE of 1 is the poorest). TURNOVER is the time-series average of annual turnover of all stocks located in each province. MB is the median year-end market-to-book value of all stocks in each province across sample years. POP is the total population in million persons in each province across sample years. BRANCH DENSITY is the ratio of total number of brokerage branches of the Shanghai Stock Exchange to the total population (in million) in each province across sample years.

(b) Table 1: Distribution of stocks and GDP per capita

6.2 Table 2 and Table 3: summary statistics and fundamentals validation

Read:

- Table 2 reports the main city- and province-level variables: turnover gaps, market-to-book gaps, GDP proxies, branch density, population, and local-stock shares.
- Average value-weighted small-minus-big turnover is positive at both city and province levels.
- Table 3 shows that small public firms are better correlated with private firm performance than big public firms.
- This supports the idea that small public firms better track local entrepreneurial wealth.

Economic message: Table 2 defines the empirical objects, while Table 3 justifies the paper’s focus on small local stocks as proxies for local peer wealth.

Table 2
Summary statistics
Panel A: City Level

	Mean	SD	Min	P25	P50	P75	Max	# of City-Year
Turnover Variables								
VW SMB TURNOVER	2.17	2.27	-3.76	0.60	1.74	3.34	10.39	2,133
IND ADJ VW SMB TURNOVER	1.97	2.07	-4.18	0.60	1.60	3.08	8.76	2,133
VW SMA TURNOVER	1.68	1.84	-3.10	0.35	1.26	2.60	8.27	2,133
EW SMB TURNOVER	1.90	1.96	-4.29	0.54	1.50	3.00	7.87	2,133
Market-to-Book Variables								
VW SMB MB	0.57	2.13	-19.26	-0.27	0.46	1.37	23.83	2,133
IND ADJ VW SMB MB	0.51	2.01	-17.44	-0.22	0.39	1.11	23.11	2,133
VW SMA MB	0.55	1.81	-11.66	-0.08	0.36	1.18	23.83	2,133
EW SMB MB	0.79	1.61	-5.67	-0.07	0.51	1.36	13.87	2,133
GDP Per Capita Proxies								
RICH	0.52	0.52	0.00	0.00	1.00	1.00	1.00	2,133
QUINTILE	3.41	1.36	1.00	2.00	4.00	5.00	5.00	2,133
SCORE	168.4	78.6	1.00	100.0	179.0	239.0	285.0	2,133
LN GDPPC	9.76	0.80	7.71	9.16	9.76	10.33	12.07	2,133
Other Geographic Variables								
LN POP	6.27	0.57	4.58	5.90	6.27	6.63	8.49	2,133
BRANCH DENSITY	2.78	2.40	0.29	1.45	2.27	3.65	30.63	2,042
PCT LOCAL STOCK (%)	2.92	2.25	0.40	1.52	2.26	3.16	13.32	2,133
Panel B: Province Level								
	Mean	SD	Min	P25	P50	P75	Max	# of Province-Year
Turnover Variables								
VW SMB TURNOVER	2.00	2.12	-3.08	0.47	1.55	3.36	8.22	326
IND ADJ VW SMB TURNOVER	1.76	1.91	-2.92	0.43	1.44	2.85	7.69	326
VW SMA TURNOVER	1.57	1.73	-1.90	0.32	1.07	2.61	7.16	326
EW SMB TURNOVER	1.72	1.83	-3.55	0.43	1.43	2.94	6.89	326
Market-to-Book Variables								
VW SMB MB	0.70	2.28	-11.57	-0.16	0.47	1.51	23.83	326
IND ADJ VW SMB MB	0.57	2.14	-10.64	-0.18	0.38	1.14	23.11	326
VW SMA MB	0.68	1.98	-8.39	-0.09	0.42	1.24	23.83	326
EW SMB MB	0.81	1.69	-5.08	-0.03	0.57	1.41	13.87	326
GDP Per Capita Proxies								
RICH	0.50	0.50	0.00	0.00	1.00	1.00	1.00	326
QUINTILE	3.29	1.38	1.00	2.00	4.00	4.00	5.00	326
SCORE	17.38	8.35	1.00	10.00	19.00	24.00	30.00	326
LN GDPPC	9.78	0.72	8.08	9.21	9.77	10.32	11.42	326
Other Geographic Variables								
LN POP	3.73	0.61	2.07	3.31	3.78	4.22	4.66	326
BRANCH DENSITY	3.76	5.04	0.29	1.44	2.21	3.71	30.63	310
PCT LOCAL STOCK (%)	4.08	2.93	1.05	1.90	3.09	5.09	15.38	326

This table presents summary statistics of all city- and province-level variables used in the regression analysis. Panel A is for the city-level variables. For each city, turnover and market-to-book variables are constructed using stocks headquartered in the city and its neighboring cities within 150 km in the same province. Stocks are sorted on last year’s market capitalization; small (big) stocks are ones in the bottom (top) 30%. TURNOVER equals the total number of shares traded divided by the number of tradable shares. MB is the year-end market-to-book ratio. VW SMB TURNOVER is the difference of mean turnover, value-weighted by last year’s market capitalization, between small and big stocks headquartered in each city region. VW SMB MB is the difference of median market-to-book ratio, value-weighted by last year’s market capitalization, between small and big stocks in each city region. IND ADJ refers to industry-adjusted TURNOVER or MB. SMA refers to the difference of average turnover or MB between small and all stocks in each city region. EW refers to equal-weighted. LN GDPPC is the natural log of city GDP per capita in each year. All cities are sorted into quintiles based on LN GDPPC in each year, and QUINTILE denotes a city’s quintile rank (QUINTILE 5 is the richest). RICH is a dummy variable equal to one if the city lies in QUINTILE 4 or 5. SCORE is the inverse rank of cities’ GDP per capita (i.e., the city with SCORE of 1 is the poorest). LN POP is the natural log of city population (in millions). For each city, BRANCH DENSITY is the ratio of total number of brokerage branches of the Shanghai Stock Exchange to the total population (in millions) in the city’s province. PCT LOCAL STOCK (%) is the ratio of total number of stocks

(a) Table 2: Summary statistics

Table 3
Performance correlation between public firms and private firms

Panel A: Accounting Performance Correlation of Private Firms with Small and Big Public Firms

	ROA	ROE	GASSET	GSALES
SM PUBLIC	0.1774 (3.94)	0.1776 (3.57)	0.1596 (2.25)	0.0510 (0.82)
BIG PUBLIC	0.0591 (0.82)	0.0796 (1.07)	0.0471 (0.90)	0.0846 (2.05)
LN ASSET	0.0109 (7.03)	0.0285 (6.24)	0.0803 (11.55)	0.0889 (7.79)
GDP GROWTH	0.0889 (1.63)	0.3946 (2.62)	0.3009 (2.52)	0.4936 (1.60)
Industry Dummies	Yes	Yes	Yes	Yes
Year Dummies	Yes	Yes	Yes	Yes
R ²	0.04	0.02	0.08	0.03
# of Obs.	71,144	71,099	71,147	71,142
Panel B: Add Interaction Term of LATE in Panel A				
SM PUBLIC	0.0474 (0.64)	0.0504 (0.66)	0.0085 (0.22)	-0.0533 (-1.96)
BIG PUBLIC	0.1033 (1.19)	0.0704 (1.12)	0.0561 (0.82)	0.0627 (1.84)
SM PUBLIC*LATE	0.2499 (3.19)	0.2547 (2.15)	0.2925 (2.93)	0.2693 (1.56)
BIG PUBLIC*LATE	-0.0995 (-0.93)	0.0158 (0.12)	-0.0231 (-0.38)	0.0744 (0.77)
LN ASSET	0.0109 (7.08)	0.0287 (6.32)	0.0805 (11.46)	0.0891 (7.70)
GDP GROWTH	0.0998 (1.68)	0.4252 (2.62)	0.3189 (2.89)	0.4594 (1.57)
Industry Dummies	Yes	Yes	Yes	Yes
Year Dummies	Yes	Yes	Yes	Yes
R ²	0.04	0.02	0.08	0.03
# of Obs.	71,144	71,099	71,147	71,142

This table reports the correlation analysis for accounting based performance for private firms and public firms from year 2000 to 2005. Panel A reports the coefficients estimated from regressing private firm’s annual accounting ratio in each year on the median ratio of small public firms and big public firms in the same province and same year, controlling for the growth rate of GDP per capita in the province, firm size, and industries. Panel B runs the same regression with interaction term of late dummy with median ratio of small and big public firm. LATE equals one for years 2004 to 2005. GDP GROWTH is the annual growth rate of GDP per capita in each province. LN ASSET is the log of a firm’s total asset at the end of each year. # of Obs is the number of firm-year observations. ROA is return on asset, which is the current year’s earnings divided by last year’s total assets. ROE is return on equity, which is current year’s earnings divided by last year’s shareholder’s equity. GSALES is sales growth rate, which is the percentage increase in sales from last year’s sales. Sales is “Total Operating Revenue” in CSMAR for public firms. GASSET is annual growth rate of total assets. For each financial ratio, SM PUBLIC is the

(b) Table 3: Performance correlation between public and private firms

6.3 Table 4 and Figure 2: turnover gap results

Read:

- Table 4 shows positive and significant interactions between GDP per capita proxies and the late-period dummy for small-minus-big turnover.
- The results hold for city and province samples and for several turnover definitions.
- Figure 2 visualizes the widening turnover gap between rich and poor regions after the early sample period.

Economic message: Richer regions experience a larger increase in small local stock turnover relative to big local stock turnover, consistent with status-driven local trading.

Table 4
Panel regressions of turnover on GDP per capita proxies

	City Level				Province Level			
	(1) RICH	(2) QUINTILE	(3) SCORE	(4) LN GDP	(5) RICH	(6) QUINTILE	(7) SCORE	(8) LN GDP
GDPG PROXY	-0.1155 (-1.11)	-0.1586 (-1.23)	-0.0025 (-0.04)	-0.1026 (-0.90)	-0.0023 (-0.01)	-0.0717 (-0.84)	-0.0093 (-0.78)	-0.0335 (-1.32)
GDPG LATE	0.1779 (2.33)	0.2561 (4.99)	0.0041 (1.48)	0.3067 (3.13)	0.0536 (2.94)	0.0091 (1.42)	0.0091 (1.33)	0.1329 (1.46)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326
Panel B: IND ADI VW SMB TURNOVER								
GDPG PROXY	-0.0647 (-1.23)	-0.1531 (-1.47)	-0.0025 (-0.93)	-0.1025 (-1.03)	0.0029 (0.02)	-0.0063 (-0.89)	-0.0089 (-0.71)	-0.0124 (-0.21)
GDPG LATE	0.2599 (2.80)	0.1872 (1.70)	0.0029 (1.23)	0.2299 (1.77)	0.5590 (2.87)	0.2466 (1.58)	0.0014 (0.55)	0.7927 (1.90)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326
Panel C: VW SMA TURNOVER								
GDPG PROXY	-0.1004 (-2.33)	-0.0970 (-1.44)	-0.0013 (-0.41)	-0.0994 (-1.44)	0.0364 (0.27)	-0.0175 (-0.30)	-0.0012 (-0.12)	0.0664 (0.99)
GDPG LATE	0.2282 (1.70)	0.1756 (1.26)	0.0028 (1.77)	0.2779 (2.87)	0.9894 (3.26)	0.3748 (1.58)	0.0630 (0.55)	1.2679 (1.90)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326
Panel D: EW SMB TURNOVER								
GDPG PROXY	-0.2567 (-2.84)	-0.1337 (-1.49)	-0.0022 (-0.41)	-0.1534 (-1.85)	0.0091 (0.06)	-0.0156 (-0.83)	-0.0062 (-0.58)	0.0084 (0.05)
GDPG LATE	0.3990 (2.60)	0.2221 (1.54)	0.0017 (1.21)	0.3278 (2.80)	0.9697 (3.03)	0.3487 (1.51)	0.0596 (0.27)	1.0090 (1.08)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326

This table reports the coefficients estimated from panel regressions of VW SMB TURNOVER at city or province level and robustness checks on the analysis for turnover. The dependent variable in Panel A is VW SMB TURNOVER. We replace the dependent variable with IND ADI VW SMB TURNOVER in Panel B, VW SMA TURNOVER in Panel C, and EW SMB TURNOVER in Panel D. The independent variables in all regressions are GDPG PROXY, LATE, and their interaction term. LATE is a dummy variable that equals 1 for years 2005 to 2012.

(a) Table 4: Turnover regressions



Figure 2
Turnover gap in rich and poor regions in each year
The upper graph plots city-level VW SMB TURNOVER (y-axis on the left) by rich and poor cities, as well as the difference (rich minus poor, y-axis on the right), in each sample year. The lower graph plots the pattern at the province level. RICH refers to cities or provinces in the richest two quintiles based on GDP per capita, and POOR refers to cities or provinces in the poorest two quintiles.

(b) Figure 2: Turnover gap in rich and poor regions

6.4 Table 5 and Figure 3: market-to-book evidence

Read:

- Table 5 repeats the main design using small-minus-big market-to-book gaps.
- The interaction between GDP per capita proxies and the late period is generally positive and significant.
- Figure 3 shows that small-minus-big valuation gaps differ between rich and poor regions over time.

Economic message: If status demand increases demand for local small stocks, it should affect prices as well as volume. The market-to-book results provide price-side support.

Table 5
Panel regressions of market-to-book on GDP per capita proxies

	City Level				Province Level			
	(1) RICH	(2) QUINTILE	(3) SCORE	(4) LN GDP	(5) RICH	(6) QUINTILE	(7) SCORE	(8) LN GDP
GDPG PROXY	-0.3656 (-1.79)	-0.1473 (-1.83)	-0.0023 (-0.90)	-0.1923 (-1.26)	-1.0967 (-1.72)	-0.2962 (-1.80)	-0.0411 (-1.56)	-0.3303 (-1.23)
GDPG LATE	0.4181 (2.52)	0.3435 (2.48)	0.0058 (2.40)	0.6131 (2.54)	1.7784 (2.80)	0.9628 (2.65)	0.0880 (2.31)	1.4608 (2.49)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326
Panel B: IND ADI VW SMB MB								
GDPG PROXY	-0.4086 (-1.99)	-0.1668 (-2.02)	-0.0025 (-1.73)	-0.2150 (-1.33)	-0.9344 (-1.45)	-0.2493 (-1.64)	-0.0360 (-1.41)	-0.4361 (-1.06)
GDPG LATE	0.7279 (2.52)	0.3022 (2.48)	0.0050 (2.54)	0.8088 (2.08)	1.7587 (2.46)	0.9581 (2.35)	0.0795 (2.30)	1.2344 (2.55)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326
Panel C: VW SMA MB								
GDPG PROXY	-0.1163 (-0.67)	-0.0108 (-0.72)	-0.0006 (-0.48)	-0.0100 (-0.17)	-0.7811 (-1.77)	-0.1601 (-1.42)	-0.0106 (-1.03)	-0.2957 (-0.92)
GDPG LATE	0.4878 (1.89)	0.2168 (1.24)	0.0015 (1.01)	0.3757 (1.79)	1.4885 (2.75)	0.4386 (2.75)	0.0668 (2.48)	1.2144 (2.80)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326
Panel D: EW SMB MB								
GDPG PROXY	-0.1926 (-1.80)	-0.1091 (-1.43)	-0.0016 (-1.80)	-0.1101 (-0.72)	-0.4851 (-1.40)	-0.1780 (-1.35)	-0.0249 (-1.11)	-0.3040 (-0.88)
GDPG LATE	0.1563 (0.87)	0.0836 (1.24)	0.0013 (1.01)	0.0921 (0.68)	1.0134 (2.20)	0.2958 (2.01)	0.0448 (1.94)	0.7642 (2.39)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,133	2,133	2,133	2,133	326	326	326	326

This table reports the coefficients estimated from panel regressions of VW SMB MB at city or province level and robustness checks on the analysis for MB. The dependent variable in Panel A is VW SMB MB. We replace the dependent variable with IND ADI VW SMB MB in Panel B, VW SMA MB in Panel C, and EW SMB MB in Panel D. The independent variables in all regressions are GDPG PROXY, LATE, and their interaction term. LATE is a dummy variable that equals 1 for years 2005 to 2012, and 0 for years 1998 to 2004. Four GDPG PROXIES

(a) Table 5: Market-to-book regressions



Figure 3
Market-to-book gap in rich and poor regions in each year
The upper graph plots city-level VW SMB MB (y-axis on the left) by rich and poor cities, as well as the difference (rich minus poor, y-axis on the right), in each sample year. The lower graph plots the pattern at the province level.

(b) Figure 3: Market-to-book gap by region

6.5 Table 6 and Figure 4: alternative technology and access explanations

Read:

- Table 6 controls for population, brokerage branch density, and the share of local listed stocks.
- The GDP-per-capita interaction remains economically meaningful after controls.
- Figure 4 shows brokerage branch density across province quintiles, documenting large cross-region differences in trading access.

Economic message: Trading technology and stock availability matter, but they do not fully explain the rich-region increase in local small-stock turnover and valuations.

Panel regressions of turnover and market-to-book on GDP per capita proxy and geographic characteristics

Panel A: VW SMB TURNOVER

	City Level				Province Level			
	(1) RICH	(2) QUINTILE	(3) SCORE	(4) LN GDP/PC	(5) RICH	(6) QUINTILE	(7) SCORE	(8) LN GDP/PC
GRP PC PROXY	-0.3572 (-3.397)	-0.1912 (-6.19)	-0.0034 (-0.31)	-0.3489 (-5.13)	-0.1483 (-0.73)	-0.1591 (-2.14)	-0.0253 (-1.95)	-0.4348 (-1.85)
GDP/PC*LATE	0.1452 (0.84)	0.1663 (2.89)	0.0025 (2.51)	0.2077 (1.56)	0.6979 (1.53)	0.3150 (2.29)	0.0524 (2.62)	1.4104 (2.54)
LN POP	0.0674 (0.80)	0.0986 (1.59)	0.0088 (1.40)	0.0883 (1.24)	0.3354 (2.53)	0.2299 (1.67)	0.2298 (1.60)	0.2428 (1.61)
LN POP*LATE	-0.2471 (-1.58)	-0.2758 (-2.25)	-0.2777 (-2.29)	-0.2651 (-2.15)	-0.4692 (-1.60)	-0.2758 (-1.11)	-0.2744 (-1.03)	-0.3914 (-0.60)
BRANCH DENSITY	-0.0042 (-1.86)	-0.0271 (-1.44)	-0.0127 (-1.81)	-0.0172 (-1.56)	0.0499 (2.07)	0.0113 (1.60)	0.0152 (1.81)	0.0475 (2.50)
BRANCH DENSITY*LATE	0.1739 (1.87)	0.1597 (1.95)	0.1618 (1.96)	0.1659 (1.95)	-0.0166 (-0.70)	-0.0207 (-0.60)	-0.0116 (-0.79)	-0.0977 (-1.85)
PCT LOCAL STOCK (%)	0.4415 (8.31)	0.1464 (0.51)	0.1546 (0.48)	0.1644 (0.21)	-0.0020 (-0.04)	0.0415 (0.71)	0.0061 (0.06)	0.0323 (0.39)
PCT LOCAL STOCK*LATE	-0.0023 (-0.63)	-0.0111 (-0.91)	-0.0100 (-0.96)	-0.0023 (-1.17)	0.1452 (2.02)	0.1123 (1.50)	0.1171 (1.52)	0.0819 (1.14)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,042	2,042	2,042	2,042	310	310	310	310

Panel B: VW SMB MB

GRP PC PROXY	-0.4152 (-2.30)	-0.2254 (-2.54)	-0.0037 (-0.30)	-0.3620 (-1.99)	-1.6251 (-2.19)	-0.6893 (-2.63)	-0.1139 (-2.42)	-2.3323 (-2.01)
GDP/PC*LATE	0.8496 (2.55)	0.1757 (2.58)	0.0644 (2.47)	0.0687 (2.19)	2.1220 (2.65)	0.8707 (2.70)	0.1440 (2.62)	3.0838 (2.27)
LN POP	-0.1108 (-0.42)	-0.0856 (-0.26)	-0.0081 (-0.30)	-0.0080 (-0.34)	-0.0540 (-0.67)	-1.3109 (-0.93)	-1.3424 (-0.95)	-1.2815 (-0.97)
LN POP*LATE	-0.0028 (-0.28)	-0.0778 (-0.19)	-0.0790 (-0.19)	-0.0636 (-0.20)	-0.0613 (-0.70)	-1.3600 (-1.14)	-1.3873 (-1.20)	-1.2805 (-1.20)
BRANCH DENSITY	-0.0049 (-0.77)	-0.0192 (-0.71)	-0.0187 (-0.70)	-0.0409 (-0.72)	-0.0440 (-0.47)	-0.0779 (-0.76)	-0.0652 (-0.85)	-0.0928 (-0.83)
BRANCH DENSITY*LATE	0.1845 (2.18)	0.1710 (2.15)	0.1682 (2.10)	0.1724 (2.10)	0.1243 (1.81)	0.1558 (2.10)	0.1558 (2.74)	0.0812 (0.83)
PCT LOCAL STOCK (%)	0.1899 (3.10)	0.1199 (1.90)	0.1250 (1.96)	0.1196 (2.05)	0.1894 (1.27)	0.2883 (1.71)	0.1851 (1.61)	0.2881 (1.44)
PCT LOCAL STOCK*LATE	-0.1490 (-1.91)	-0.1567 (-2.04)	-0.1653 (-2.13)	-0.1800 (-2.19)	-0.2351 (-1.76)	-0.3395 (-2.32)	-0.3286 (-2.07)	-0.3556 (-1.77)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	2,042	2,042	2,042	2,042	310	310	310	310

This table reports coefficients estimated from panel regressions of VW SMB TURNOVER and MB on GDP PC PROXY, LATE, and their interaction term, controlling for other geographic characteristics.

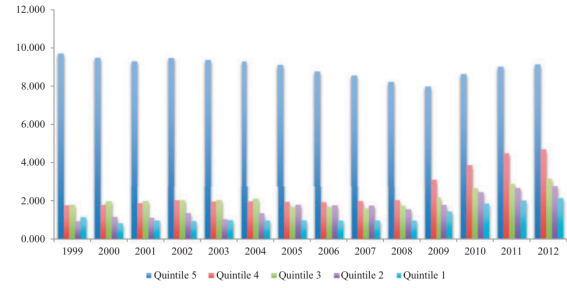


Figure 4
Broker branch density across different province quintiles in each year
The graph plots the average broker branch density ratio across different province quintiles sorted on GDP per capita from 1999 to 2012

(a) Table 6: Controls for geographic characteristics

(b) Figure 4: Brokerage branch density

6.6 Table 7 and Table 8: local attention and investor-level local bias

Read:

- Table 7 shows that local message board posts predict local small-minus-big turnover, while nonlocal posts have a negative coefficient.
- Table 8 shows that individual investors trade local stocks more than the local-stock benchmark share would predict.
- The account sample has about 998,000 investor-year observations, with mean wealth of about 410,000 yuan.

Economic message: The message board evidence connects aggregate turnover to local attention. The account data show that local bias appears directly in individual trading behavior.

Table 7
Turnover gap and message board posts locality

Panel A: Summary Statistics

	Mean	SD	Min	P25	P50	P75	Max
VW SMB TURNOVER	3.128	1.248	-2.871	2.338	3.377	3.977	5.995
EW SMB TURNOVER	2.552	1.155	-3.606	1.992	2.618	3.309	4.958
LOCAL POST	0.184	0.146	0.009	0.095	0.155	0.226	0.958
NONLOCAL POST	3.133	1.801	0.722	1.975	2.744	3.737	11.453

Panel B: Regression Results

	(1) VW SMB TURNOVER	(2) EW SMB TURNOVER
LOCAL POST	2.087 (3.28)	1.297 (2.30)
NONLOCAL POST	-0.159 (-3.14)	-0.134 (-2.89)
# of Obs.	178	178
Adjusted R ²	0.075	0.048

This table reports OLS regression results from regressing SMB Turnover on the number of local and nonlocal post in each city region. For each city, the city region includes its neighboring cities within 150 km in the same province. VW SMB TURNOVER and EW SMB TURNOVER are defined as in Table 2. LOCAL POST is the average number of posts (divided by 1,000) from each city-region on stocks located in the city-region. NONLOCAL POST is the average number of posts (divided by 1,000) from all other places outside of the city-region on stocks located in the region. Message data are from Guba.EastMoney.com message board posts. Only posts with more than five replies are included. Panel A reports the summary statistics and Panel B reports the regression results. The sample period is from 2008 to 2012. Standard errors are adjusted for heteroscedasticity, and *t*-statistics are reported in parentheses.

randomly selected from all existing accounts at the end of 2012. The sampled

(a) Table 7: Message board posts and turnover

Table 8
Summary statistics of the characteristics of individual investors and percentage of local stock trading

Panel A: Summary Statistics of the Characteristics of Individual Investors

	Mean	SD	Min	P25	P50	P75	Max
WEALTH	409,898	5,079,923	0.01	31,481.8	90,936.3	260,115.8	1.79E+09
LN WEALTH	11.18	2.34	-4.61	10.36	11.42	12.47	21.31
GENDER	0.44	0.50	0	0	0	1	1
AGE	45.44	12.44	13	36	44	54	98

Panel B: Local Stock Trading Percentage (%) of Individual Investors

		Mean	SD	Min	P25	P50	P75	Max
LOCAL TRADING	TW	9.95	15.43	0	0	4.29	12.96	100
	SW	10.00	16.27	0	0	3.62	12.61	100
	VW	9.95	16.11	0	0	3.69	12.64	100
Percentage of Stocks	Number	6.09	2.42	0.14	4.76	5.96	7.76	12.09
	Share	8.01	12.52	0.10	1.68	2.46	10.06	50.90
	Value	7.82	11.48	0.09	1.79	2.60	9.01	48.08

Panel A reports the summary statistics of the characteristics of individual investors. WEALTH represents the total value of an investor's brokerage account at the end of the sample period. LN WEALTH represents the natural log of wealth. GENDER takes the value of 0 for male investors, and 1 for female investors. AGE is investor's age at the end of the sample period. Panel B reports the local stock trading percentage of individual investors during the sample period, averaged over investor and year level. Local stocks for each investor are defined as those in the investor's city region, which includes its neighboring cities within 150 km in the same province. TW LOCAL TRADING for each investor is the number of trades on local stocks divided by the number of trades made by that investor on all stocks during that year. SW LOCAL TRADING for each investor is the number of shares traded on local stocks divided by the number of shares made by that investor on all stocks during that

(b) Table 8: Investor summary statistics and local trading

6.7 Table 9: brokerage account regressions

Read:

- Table 9 regresses local small-stock trading percentages on GDP per capita proxies and investor controls.
- Richer cities have higher local small-stock trading by individual investors.
- The result holds for transaction-weighted, share-weighted, and value-weighted local small-stock trading.
- Investor wealth, gender, age, population, branch density, and local-stock availability are included as controls.

Economic message: The account-level evidence is the most direct validation of the status-trading story: households in richer places trade more local small stocks even conditional on their own characteristics.

Table 9
Panel regression of local stock trading percentage on GDP per capita proxies

	TW LOCAL SMB TRADING				SW LOCAL SMB TRADING				VW LOCAL SMB TRADING			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
	RICH	QUINTILE	SCORE	LNGDPPC	RICH	QUINTILE	SCORE	LNGDPPC	RICH	QUINTILE	SCORE	LNGDPPC
GDP PC PROXY	1.6551 (2.49)	1.6242 (3.04)	0.0291 (2.55)	1.3664 (1.35)	1.5380 (2.25)	1.5448 (2.82)	0.0291 (2.43)	1.5278 (1.44)	1.7878 (2.60)	1.7320 (3.14)	0.0301 (2.59)	1.3559 (1.31)
LN WEALTH	-0.1180 (-7.85)	-0.1191 (-7.92)	-0.1226 (-8.25)	-0.1196 (-8.04)	-0.1353 (-6.88)	-0.1364 (-6.93)	-0.1400 (-7.12)	-0.1375 (-6.91)	-0.1392 (-8.25)	-0.1403 (-8.31)	-0.1438 (-8.61)	-0.1406 (-8.43)
GENDER	-0.0405 (-1.03)	-0.0433 (-1.10)	-0.0492 (-1.27)	-0.0410 (-1.06)	0.0126 (0.32)	0.0098 (0.25)	0.0033 (0.09)	0.0106 (0.28)	-0.0336 (-0.88)	-0.0365 (-0.95)	-0.0423 (-1.12)	-0.0334 (-0.89)
AGE	0.0030 (0.63)	0.0028 (0.58)	0.0035 (0.72)	0.0047 (0.95)	0.0028 (0.60)	0.0025 (0.53)	0.0030 (0.66)	0.0042 (0.87)	0.0011 (0.22)	0.0008 (0.17)	0.0016 (0.33)	0.0030 (0.58)
LN POP	-4.7880 (-5.56)	-4.8304 (-5.62)	-5.1927 (-5.59)	-4.9127 (-5.07)	-5.4141 (-5.54)	-5.4618 (-5.59)	-5.6125 (-5.56)	-4.7776 (-5.11)	-4.7776 (-5.62)	-5.1408 (-5.59)	-4.8332 (-5.03)	-4.8332 (-5.03)
BRANCH DENSITY	0.0597 (0.48)	0.0676 (0.55)	0.0849 (0.67)	0.0618 (0.47)	0.1079 (0.83)	0.1162 (0.89)	0.1355 (1.01)	0.1164 (0.85)	0.0539 (0.43)	0.0619 (0.49)	0.0785 (0.61)	0.0531 (0.40)
PCT LOCAL STOCK (%)	-1.0943 (-6.59)	-1.1220 (-6.67)	-1.1696 (-6.14)	-1.0870 (-5.64)	-1.1313 (-6.37)	-1.1605 (-6.45)	-1.2152 (-5.95)	-1.1462 (-5.49)	-1.1360 (-6.78)	-1.1638 (-6.86)	-1.2081 (-6.30)	-1.1180 (-5.78)
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
# of Obs.	998,267	998,267	998,267	998,267	998,267	998,267	998,267	998,267	998,267	998,267	998,267	998,267
Adjusted R ²	0.088	0.088	0.088	0.087	0.085	0.086	0.086	0.085	0.083	0.083	0.083	0.082

This table reports the panel regression of local stock trading percentage on GDP per capita proxies and other city and investor characteristics. The TW/SW/VW LOCAL SMB TRADING is calculated using the TW/SW/VW LOCAL SMALL TRADING deducting the TW/SW/VW LOCAL BIG TRADING. TW LOCAL SMALL, (BIG) TRADING for each investor is the number of trades on local small (big) stocks divided by the number of trades made by that investor on all stocks during that year. SW and VW LOCAL SMALL, (BIG) TRADING for each investor are defined in a similar way in terms of stock shares and capitalization, respectively. Stocks are sorted on last year's market capitalization; small (big) stocks are ones in the bottom (top) 30%. GDP PC PROXY, GENDER, AGE, LN WEALTH, LN POP, BRANCH DENSITY, and PCT LOCAL STOCK are defined as in Table 5 and Table 6. Coefficients and *t*-statistics on your computer are not reported. Standard errors are clustered at the city-year level. *T*-statistics are reported below the coefficient in parentheses.

7 Short summary

- The paper studies whether status concerns can explain excessive trading, local bias, and trend chasing.
- The model assumes that local peer wealth is tied to local stocks and that households care about keeping up with peers.

- Status concerns make local risky-stock demand rise after good local signals.
- The model predicts trend chasing, high turnover, and low expected returns.
- The empirical setting is China from 1998 to 2012.
- The key empirical object is small-minus-big turnover and valuation among local stocks.
- Rich regions experience larger increases in small local stock turnover and valuation after 2005.
- Results are robust to alternative affluence proxies and controls for population, brokerage access, and local stock availability.
- Message board posts show that local attention predicts local small-stock turnover.
- Brokerage account data show that individuals in rich cities trade more local small stocks.
- The incremental contribution is to provide a unified status-based explanation for several retail trading puzzles.

8 Conclusion

8.1 Core conclusion

Hong, Jiang, Wang, and Zhao argue that Keeping-Up-with-the-Joneses preferences can explain excessive trading, local bias, and trend chasing. When local peer wealth rises with local stock performance, households with status concerns demand more local risky assets, especially small local stocks that are more closely tied to local entrepreneurs and peers.

8.2 Economic intuition

The intuition is that status makes own wealth more valuable when neighbors are rich. Good local stock performance raises peer wealth, so status-motivated investors want to increase exposure to local stocks precisely when those stocks have done well. This creates trend chasing, trading volume, and potentially overpricing.

8.3 Takeaway

The paper turns status concerns into a financial-market mechanism. It shows that social comparison can affect not only consumption and labor supply but also household trading, local portfolio bias, and asset prices. Its distinctive contribution is to connect a micro preference over relative wealth to aggregate trading patterns in China's stock market.